

Management's Discussion and Analysis

Dollar amounts are in thousands of Canadian dollars (except as noted)

Limited Exposure to Rent Control

The majority of Killam's portfolio does not fall under rent control, allowing Killam to move rents to market on an annual basis. PEI is the one province in Atlantic Canada with rent control for apartments, and this represents only 6.9% of Killam's apartment units. Ontario has rent control; however the legislation excludes properties built after 1991. Six of Killam's twelve properties in Ontario (814 units) are newer properties (built after 2004) and therefore do not fall under the rent control guideline.

Ontario and Nova Scotia both have rent control for MHCs. In both provinces owners may apply for above-guideline increases to offset significant capital expenditures. Higher rent increases are also allowed for new tenants entering the communities.

To determine rental increases for its portfolio, the Company analyzes each property on a regular basis, considering its location, tenant base and vacancy, to evaluate the ability to increase rents for both existing tenants and on turnovers.

CMHC Insured Debt Available for 90% of Killam's Portfolio

Canadian apartment owners can apply for CMHC mortgage loan insurance. The mortgage insurance guarantees the repayment of the loan to the lender, eliminating default risk to the lender which results in lower interest rates for the borrower than with conventional mortgages. Killam uses CMHC insurance and has 72% of its apartments financed with CMHC insured debt. As mortgages are renewed or new properties are financed, Killam expects to use CMHC insurance and increase the percentage of insured debt. CMHC insurance is not available for the owners of MHCs, however, it is available for the individual homeowners.